

state law. Try to keep the first payment to no more than 10 to 20 percent. Additional payments should be tied to completion of measurable milestones, so you're paying for the work that's actually been accomplished. Include these milestones in your contract to ensure that your contractor understands and agrees to them. You should be holding at least 15 percent of the contractor's money until the job is finished to your satisfaction and you have written proof that all subcontractors and suppliers have been paid.

Mechanic's Liens

One of the biggest concerns about hiring a contractor who uses subcontractors is the possibility of what's known as a mechanic's lien. If the contractor doesn't pay his subcontractors or suppliers, they can demand payment from you directly even though you already paid the contractor for the subcontracted services or supplies. If you don't pay, they can place a lien on your home and force you to sell it to pay them if you can't come up with the money any other way. Never settle for a contractor's promise that he'll pay everybody.

You can protect yourself by asking your contractor to provide lien waivers or lien releases from all his subcontractors and suppliers before beginning work. A lien waiver is a simple form that the subcontractor signs stating that he won't ask you for money you've already paid the contractor. If the subcontractor won't sign a lien waiver before performing the job, you could meet with the contractor and subcontractor together and write a check to each one separately. Then get the subcontractor to sign a lien release, which is similar to a lien waiver but states that the subcontractor has been paid.